

SIX SIGMA PROJECT CHARTER

Order Processing Efficiency Improvement Project

1. BUSINESS CASE

Why This Project Is Important:

- Customer satisfaction declining due to delayed order delivery (currently 4.2 days vs. 2-day target)
- 18,000 orders annually delivered late, resulting in ~\$450,000 in estimated lost revenue
- Fulfillment accuracy at 92% creates returns processing burden and customer dissatisfaction
- Competitor analysis shows market leaders achieving 2-day delivery and 99.5%+ accuracy
- Market opportunity: 15% revenue increase if order-to-delivery reduced to 2 days with 99.5% accuracy

Business Goals for Success:

- Reduce average order processing cycle time from 4.2 days to 2.0 days (95% of orders)
- Improve order fulfillment accuracy from 92% to 99.5% (first-pass yield)
- Decrease customer complaint volume by 60%
- Achieve 15% revenue increase from improved customer satisfaction and retention
- Establish repeatable, sustainable process for maintaining these improvements

2. PROBLEM STATEMENT

Current Situation:

Order fulfillment process at our e-commerce distribution center takes an average of 4.2 business days from receipt to shipment. Customers expect delivery within 2 business days. Additionally, 8% of orders contain errors requiring correction or rework, resulting in customer complaints and processing delays.

Impact:

These delays and errors directly reduce customer satisfaction, increase operational costs through rework, and result in estimated annual revenue loss of \$450,000 from lost repeat customers and negative reviews.

3. PROJECT SCOPE

In Scope:

- Order receipt through shipping confirmation (main fulfillment process)
- Inventory management and order picking accuracy
- Packing and labeling processes
- Shipping coordination and handoff
- Basic returns processing (initial receipt and verification)

Out of Scope:

- Full returns processing workflow (may be separate Six Sigma project)
- Customer service center operations
- Transportation carrier performance (outside our control)

- Supplier quality issues (handled separately)

Boundaries:

- Focus: Internal fulfillment center processes only
- Geography: Main distribution center location
- Exclusions: Cannot modify customer order system without IT governance approval

4. PROJECT CONSTRAINTS

Constraint Type	Details
Budget	\$75,000 maximum (includes team time, software, training, pilot equipment)
Timeline	4 months (16 weeks) from charter to full implementation
Resource Availability	2 Green Belt practitioners (20% allocation), 1 Black Belt (40%), 3 process experts (15% each)
System Changes	No major IT system changes possible without 2-month lead time; focus on process optimization
Staff Availability	Peak holiday season (Oct-Dec) may impact team availability; plan around this

5. CURRENT PROCESS PERFORMANCE

Current State Metrics (Baseline):

Metric	Current State	Customer Requirement	Target (Project Goal)
Avg Order Processing Time	4.2 days	2.0 days	2.0 days (95% of orders)
First-Pass Yield (Accuracy)	92%	99.5%	99.5%
Order Fulfillment Accuracy	92%	99.5%	99.5%
Inventory Data Accuracy	94%	99%	99%
Customer Satisfaction Score	6.8/10	9.0/10	9.0/10
Annual Orders Late	18,000	0 (or <1%)	<5% (9,000)

Performance Drivers (Why Current State Exists):

- Manual order entry creates data entry errors
- Inventory locations not optimized; pickers travel excessive distances
- Lack of quality checks before shipping
- Warehouse management system outdated (10+ years old)
- Staff turnover creates inconsistent processes

6. CUSTOMER REQUIREMENTS & SPECIFICATIONS

Voice of Customer (from 5 key customer interviews and 12 survey responses):

Customer Requirement	Importance	Internal Translation (CTS)
"I need my order within 2 days"	Critical (95% of customers)	Cycle time ≤ 2 days
"Orders should arrive complete and correct"	Critical (98% of customers)	First-pass yield ≥ 99.5%
"I want to know where my order is"	High (85% of customers)	Real-time order tracking accuracy ≥ 99%
"Returns should be easy and hassle-free"	High (72% of customers)	Return process time ≤ 1 day
"I rely on your inventory information being accurate"	High (68% of customers)	Inventory accuracy ≥ 99.8%

7. PROJECT TEAM STRUCTURE

Role	Name	Responsibility	Allocation
Executive Sponsor	VP Operations	Executive oversight, resource allocation, governance	5%
Project Manager / Black Belt	Designation	Overall project leadership, methodology, timeline	40%
Green Belt Lead	Designation	Data analysis, process mapping, statistical analysis	20%
Green Belt (Secondary)	Designation	Data collection, documentation, process improvement	20%
Warehouse Manager	Designation	Process expert, operational input, staff coordination	15%
IT Specialist	Designation	System configuration, data extraction, technical support	15%
Process Analyst	Designation	Current state documentation, process measurement, baseline	15%

8. PROJECT TIMELINE & MILESTONES

Phase	Timeline	Key Milestones
Define	Weeks 1-3	Charter approved, CTS identified, stakeholders engaged
Measure	Weeks 4-6	Baseline metrics validated, process mapped, data collection plan ready
Analyze	Weeks 7-9	Root causes identified, hypotheses validated, improvement opportunities prioritized

Improve	Weeks 10-14	Solutions designed, pilot tested, results verified, full implementation ready
Control	Weeks 15-16	Controls implemented, staff trained, documentation complete, project closed

9. EXPECTED BENEFITS

Quantified Benefits (Annualized):

- **Revenue Recovery:** \$450,000 from eliminated late orders
- **Revenue Growth:** \$200,000+ from improved customer satisfaction and retention
- **Cost Reduction:** \$150,000 from reduced rework and error handling
- **Operational Efficiency:** \$50,000 from optimized labor allocation
- **Total Annual Benefit:** \$850,000 - \$1.2 million
- **Project ROI:** 1,133% to 1,600% (benefit-to-cost ratio: 11:1 to 16:1)

Intangible Benefits:

- Improved employee morale and engagement through visible improvement
- Enhanced company reputation and brand loyalty
- Reduced customer complaint volume and improved Net Promoter Score (NPS)
- Foundation for continuous improvement culture

10. APPROVAL & AUTHORIZATION

Role	Name	Signature	Date
Executive Sponsor	VP Operations	_____	_____
Project Manager / Black Belt	Designation	_____	_____
Finance Approval	Finance Director	_____	_____
HR / Resource Approval	HR Manager	_____	_____

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Next Review Date: End of Measure Phase (Week 6)

Distribution: Executive Sponsor, Project Team, Finance, Operations, IT